Water and Sewer Projects

This document provides specific guidance for **water and sewer projects** per ARC's Strategic Plan Goal 3.1. Applications may involve multiple activities as part of a single project; ARC encourages applicants to review the specific guidance for each type of activity included in an application.

All application guidance is grounded in the goals and principles of ARC's current strategic plan and incorporate project fundamentals which emphasize strategic focus, collaboration, financial and operational sustainability, and measurable impact in ARC investments.

ARC investment in **water and sewer projects** targets one of the most essential building blocks for the economic prosperity of any community. Infrastructure investments and integrated economic development plans offer some of the largest returns on investment and help to improve residents' quality of life, grow existing businesses, and attract new industries to the region.

ARC generally categorizes **water and sewer** project activities under Goal 3 of its strategic plan.

Examples of eligible water and sewer projects include, but are not limited to:

- Building new water infrastructure to enable the development of industrial parks or industrial sites to drive economic activity and opportunity.
- Extending public water and wastewater service to previously unserved areas and repairing failing systems serving residential and/or commercial users.
- Addressing deficiencies and overflow in combined sanitary and storm sewer systems to protect public health and natural resources.
- Replacing aged and deteriorated pump stations to eliminate overflows, reduce constant repair costs and improve system efficiency and resiliency.
- Research, planning, and other non-construction activities, including flow monitoring, video line inspections, and smart meter installation.

ARC's Residential Infrastructure Policy

ARC will award grants for basic residential water and sewer infrastructure projects only for communities in ARC-designated distressed counties, with few exceptions allowed for at-risk and transitional counties. These exceptions are:

(1) the location of the project is in a distressed area or census track of the county
(2) as part of a disaster relief effort; or
(3) to address a mandate of the federal EPA or a state health or environmental agency

Please refer to ARC's Project Guidelines found at https://www.arc.gov/resource/arc-project-guidelines/ for more information.

Key Principles of ARC Water and Sewer Investments

ARC project activities should be strategic, financially and operationally sustainable, collaborative, and impactful.

More Information

For step-by-step guidance on how to complete a comprehensive application for ARC funding consideration, all applicants should refer to the framework and instructions detailed in the *Application Template for ARC Non-Construction Projects* or the *Application Template for ARC Construction Projects*, as appropriate, available in the applicant resources section of our website.

Applicants should also consult their ARC State Program Manager prior to completing an application to understand state-specific requirements and processes as well as their state's Appalachian Development Plan and Annual Strategy Statement for additional information.

Strategic:

- Applicants should consider how proposed projects will address problems to existing systems or take advantage of unmet need or opportunity.
- Project proposals should indicate a strong familiarity with data on current water and sewer systems (coverage, costs, impact, etc.), number of households and businesses served in service area, industry expansion and impacts on employment, planned developments – any factor that demonstrates a project's need or demand.
- Project design considers other regional infrastructure systems and is part of an integrated approach to utility delivery, rather than an independent, stand-alone service.
- Project design should reflect awareness of the links between adequate utility infrastructure and economic development opportunity.

Sustainable:

- Projects should be designed to become self-sustaining after the ARC grant period has closed. Applicants need to consider how the project will be maintained after ARC funds are used and address other factors that could affect sustainability.
- Qualified staff and on-going financial resources are imperative to project sustainability and need to be well documented in the project narrative through an asset management plan (e.g., a five-year pro forma financial projections).
- Applicants should assess whether ARC investment in the project could be used to effectively leverage more resources from state or federal programs, private foundations, or public and private enterprises.

Collaborative:

- Any community or group that has interest in or will benefit from a proposed project are natural partners and should be offered a role in project planning.
- Some partners may participate in the project's financing, implementation, or administration, and may be brought in as partners through contract or procurement. Examples include planning districts, county boards, businesses, organizations, and institutions that will benefit after a project is completed.

Impactful:

- All project proposals must include performance targets. Applicants should refer to ARC's Guide to Performance Measures at https://www.arc.gov/resource/guide-to-arc-project-performance-measures/ for additional information.
- All measures must be trackable. Applications should include an estimate of appropriate performance measures that will be achieved within three (3) years of the project's completion. Current impacts are reported at the time of project close-out.
- Output, and outcome measures for water and sewer projects include specific infrastructure calculations (i.e., # of linear feet to be installed, million gallons related to storage capacity, million gallons per day related to production capacity), businesses and jobs created or retained, leveraged private investment (LPI), communities served and improved. If job creation/retention or LPI dollars are part of the performance targets, letters from affected businesses are required.

Other Considerations

- Costs associated with water and sewer projects are often higher than anticipated and delays in obtaining necessary materials are frequent. These contingencies should be factored into the project budget and schedule and anticipated as likely challenges.
- Projects intended to increase a utility's resiliency to natural disaster, security breach, staff turnover, unexpected economic downturn, or other crisis must pair general benefits (i.e., reducing the likelihood

of negative impacts) with clear ARC Performance Measures as described under the “Impactful” section above.
- ARC construction projects require the submission of an official cost estimate (PER/PAR).

Basic Agency Requirements (For Construction Projects Only)

ARC does not administer any construction projects, including those involving water and sewer. ARC operates in partnership with federal and state agencies under an MOU to manage federal construction grants throughout the region.

It is the applicant’s responsibility to secure a letter from the appropriate federal or state agency, known as a basic agency letter, confirming their willingness to administer ARC funds for any proposed infrastructure project. A list of eligible basic agencies can be found at https://www.arc.gov/basic-agency-partners/.

Grantees are encouraged to reach out directly to their basic agency to ensure the proposed implementation scope and schedule is acceptable to the basic agency prior to submitting the construction grant application.

Additional Resources

- ARC’s Current Strategic Plan https://www.arc.gov/strategicplan/
- ARC Applicant Resources: https://www.arc.gov/applicant-resources/
- Information Specific to ARC States: https://www.arc.gov/appalachian-states/
- ARC’s Grant Compliance Guide https://www.arc.gov/resource/grant-compliance-guide/
- Research Report: https://www.arc.gov/report/evaluation-of-the-appalachian-regional-commissions-drinking-water-and-wastewater-infrastructure-projects-fy-2009-fy-2016/
- Research Report: https://www.arc.gov/report/a-twenty-year-review-revisiting-the-drinking-water-and-wastewater-i2374C7nfrastructure-funding-needs-and-gaps-inthe-appalachian-region/